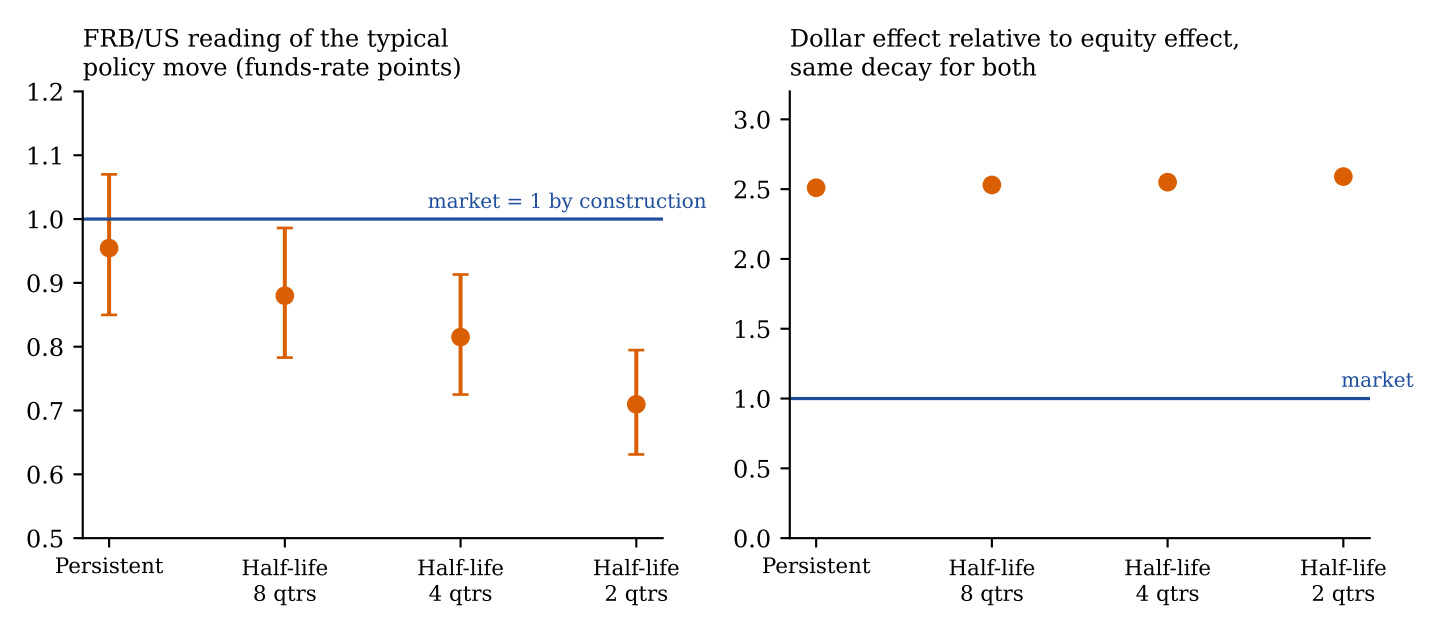
FRB/US reading of the typical
policy move (funds-rate points)
1.2
1.1
1.0
0.9
0.8
0.7
0.6
0.5
market = 1 by construction
Persistent
Half-life
8 qtrs
Half-life
4 qtrs
Half-life
2 qtrs
Dollar effect relative to equity effect,
same decay for both
3.0
2.5
2.0
1.5
1.0
0.5
0.0
market
Persistent
Half-life
8 qtrs
Half-life
4 qtrs
Half-life
2 qtrs